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Circular E, Employer's Tax Guide

(Including 2004 Wage Withholding and Advance Earned Income Credit Payment Tables)



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Changes To Note

Proposed change to FUTA tax deposit rules. As this publication was being prepared for print, the Treasury Department proposed new rules that would provide an additional exception to the Federal Unemployment Tax Act (FUTA) tax deposit requirements for employers. When the

15. Special Rules for Various Types of Services and Payments

(Section references are to the Internal Revenue Code unless otherwise noted.)

Special Classes of Employment and Special Types of Payments	Treatment Under Employment Taxes		
	Income Tax Withholding	**Social Security and Medicare**	**Federal Unemployment**
Aliens, nonresident.	See page 14 and **Pub. 515,** Withholding of Tax on Nonresident Aliens and Foreign Entities, and **Pub. 519,** U.S. Tax Guide for Aliens.		
Aliens, resident:			
1. Service performed in the U.S.	Same as U.S. citizen.	Same as U.S. citizen. (Exempt if any part of service as crew member of foreign vessel or aircraft is performed outside U.S.)	Same as U.S. citizen.
2. Service performed outside U.S.	Withhold	Taxable if (1) working for an American employer or (2) an American employer by agreement covers U.S. citizens and residents employed by its foreign affiliates.	Exempt unless on or in connection with an American vessel or aircraft and either performed under contract made in U.S., or alien is employed on such vessel or aircraft when it touches U.S. port.
Cafeteria plan benefits under section 125.	If employee chooses cash, subject to all employment taxes. If employee chooses another benefit, the treatment is the same as if the benefit was provided outside the plan. (See **Pub. 15-B** for more information.)		
Deceased worker:			
1. Wages paid to beneficiary or estate in same calendar year as worker's death. (See **Instructions for Forms W-2 and W-3** for details.)	Exempt	Taxable	Taxable
2. Wages paid to beneficiary or estate after calendar year of worker's death.	Exempt	Exempt	Exempt
Dependent care assistance programs (limited to $5,000; $2,500 if married filing separately).	Exempt to the extent that it is reasonable to believe that amounts are excludable from gross income under section 129.		
Disabled worker's wages paid after year in which worker became entitled to disability insurance benefits under the Social Security Act.	Withhold	Exempt, if worker did not perform any service for employer during period for which payment is made.	Taxable
Employee business expense reimbursement:			
1. Accountable plan.			
a. Amounts not exceeding specified government rate for per diem or standard mileage.	Exempt	Exempt	Exempt
b. Amounts in excess of specified government rate for per diem or standard mileage.	Withhold	Taxable	Taxable
2. Nonaccountable plan. (See page 9 for details.)	Withhold	Taxable	Taxable
Family employees:			
1. Child employed by parent (or partnership in which each partner is a parent of the child).	Withhold	Exempt until age 18; age 21 for domestic service	Exempt until age 21
2. Parent employed by child.	Withhold	Taxable if in course of the son's or daughter's business. For domestic services, see section 3.	Exempt
3. Spouse employed by spouse. (See section 3 for more information.)	Withhold	Taxable if in course of spouse's business.	Exempt
Fishing and related activities.	See **Pub. 595,** Tax Highlights for Commercial Fishermen.		
Foreign governments and international organizations.	Exempt	Exempt	Exempt

Special Classes of Employment and Special Types of Payments	Treatment Under Employment Taxes		
	Income Tax Withholding	**Social Security and Medicare**	**Federal Unemployment**
Foreign service by U.S. citizens:			
1. As U.S. government employee.	Withhold	Same as within U.S.	Exempt
2. For foreign affiliates of American employers and other private employers.	Exempt if at time of payment (1) it is reasonable to believe employee is entitled to exclusion from income under section 911 or (2) the employer is required by law of the foreign country to withhold income tax on such payment.	Exempt unless (1) an American employer by agreement covers U.S. citizens employed by its foreign affiliates or (2) U.S. citizen works for American employer.	Exempt unless (1) on American vessel or aircraft and work is performed under contract made in U.S. or worker is employed on vessel when it touches U.S. port or (2) U.S. citizen works for American employer (except in a contiguous country with which the U.S. has an agreement for unemployment compensation) or in the U.S. Virgin Islands.
Homeworkers (industrial, cottage industry):			
1. Common law employees.	Withhold	Taxable	Taxable
2. Statutory employees. (See page 7 for details.)	Exempt	Taxable if paid $100 or more in cash in a year.	Exempt
Hospital employees:			
1. Interns	Withhold	Taxable	Exempt
2. Patients	Withhold	Taxable (Exempt for state or local government hospitals.)	Exempt
Household employees:			
1. Domestic service in private homes. (Farmers, see **Pub. 51** (Circular A).)	Exempt (withhold if both employer and employee agree).	Taxable if paid $1,400 or more in cash in 2004. Exempt if performed by an individual under age 18 during any portion of the calendar year and is not the principal occupation of the employee.	Taxable if employer paid total cash wages of $1,000 or more (for **all** household employees) in any quarter in the current or preceding calendar year.
2. Domestic service in college clubs, fraternities, and sororities.	Exempt (withhold if both employer and employee agree).	Exempt if paid to regular student; also exempt if employee is paid less than $100 in a year by an income-tax-exempt employer.	Taxable if employer paid total cash wages of $1,000 or more (for **all** household employees) in any quarter in the current or preceding calendar year.
Insurance for employees:			
1. Accident and health insurance premiums under a plan or system for employees and their dependents generally or for a class or classes of employees and their dependents.	Exempt (except 2% shareholder-employees of S corporations).	Exempt	Exempt
2. Group-term life insurance costs. (See **Pub. 15-B** for more details.)	Exempt	Exempt, except for the cost of group-term life insurance that is includible in the employee's gross income. (Special rules apply for former employees.)	Exempt
Insurance agents or solicitors:			
1. Full-time life insurance salesperson.	Withhold only if employee under common law. (See page 7.)	Taxable	Taxable if (1) employee under common law and (2) not paid solely by commissions.
2. Other salesperson of life, casualty, etc., insurance.	Withhold only if employee under common law.	Taxable only if employee under common law.	Taxable if (1) employee under common law and (2) not paid solely by commissions.